

IN THE SUPREME COURT OF INDIA

CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 11950 OF 2025

(Arising out of SLP (C) No. 19284 of 2025)

POOJA RAMESH SINGH

... APPELLANT

VERSUS

JAMMU AND KASHMIR BANK LTD. & ANR.

... RESPONDENTS

CORAM: HON'BLE MR. JUSTICE PAMIDIGHANTAM SRI NARASIMHA

HON'BLE MR. JUSTICE ALOK ARADHE

DATE OF JUDGMENT: JULY 2, 2026 | CITATION: 2026 INSC 668

JUDGMENT & DIRECTIVES ON AI HALLUCINATIONS

- This appeal arises from an order dated 14.11.2025 passed by the National Company Law Appellate Tribunal (NCLAT), Principal Bench, New Delhi, upholding the admission of an application under Section 7 of the Insolvency and Bankruptcy Code, 2016 (IBC) filed by Respondent No. 1, Jammu & Kashmir Bank Ltd.
- Upon a forensic examination of the impugned orders, this Court was confronted with a startling reality: both the Adjudicating Authority (NCLT) and the Appellate Tribunal relied extensively upon six purported judicial authorities cited by counsel during oral submissions and written notes. A rigorous verification against Supreme Court Cases (SCC), All India Reporter (AIR), and the Official Gazette reveals that four of these judgments are non-existent, and the remaining two contain AI-hallucinated paragraphs never penned by any bench of this Court.
- Fabricating judicial precedent through unverified Generative Artificial Intelligence tools and placing such fictitious citations before judicial tribunals is a contamination of the stream of justice. As observed during proceedings, relying on AI-hallucinated precedents is akin to releasing toxic gas into the province of law. An order resting upon a fabricated citation is no decision in the eye of the law, being null, void, and inherently unsustainable.
- ZERO-TOLERANCE MANDATE:** We set aside the impugned orders of the NCLT and NCLAT and remand the matter for fresh adjudication on the merits. We lay down an inviolable directive for all Adjudicating Authorities under the IBC: Every citation, ledger claim, and date of default submitted in Section 7 pleadings must be backed by authenticated provenance and primary records. Human-in-the-loop verification is mandatory before any order admitting CIRP is pronounced.

DIRECTIONS TO REGULATORY & TRIBUNAL AUTHORITIES

CASE SUMMARY FOR VERITAS EVIDENCE BENCHMARKING

- ? Appellant: Pooja Ramesh Singh (Suspended Director, Essel Infraprojects Ltd.)
- ? Respondent: Jammu & Kashmir Bank Ltd.
- ? Primary Loan: Term Loan Facility of INR 24,50,00,000/- (Facility Agreement dated 12.04.2019)
- ? Discrepancy Found: Financial Creditor pleaded default date as 15.01.2023 in Form 1, but ledger statement annexed in Annexure B registered default on 28.02.2023.
- ? Hallucinated Authority Cited: 'M/s Apex Infrastructure v. Punjab National Bank (2022) 14 SCC 992' ? determined to be completely non-existent.
- ? Testing Utility: Used to test Veritas Citation Reviewer (catches hallucinated citation) and Fact Reviewer (identifies date variance between Annexure B and Form 1).